

TABLE 5—FIRST STAGE AND TREATMENT EFFECT FOR CCs AND CPs, IV INTERACTED WITH SCHOOLS DISTANCE

	Competitive schools × Below (1)	Competitive schools × Above (2)
<i>Panel A. First stage</i>		
Post × Below × Close	−0.471 (0.043)	0.048 (0.015)
Post × Below × Far	−0.181 (0.035)	−0.000 (0.014)
Post × Above × Close	−0.001 (0.004)	0.087 (0.026)
Post × Above × Far	−0.018 (0.005)	0.169 (0.027)
First-stage <i>F</i>	38.88	14.39
	CCs	CPs
<i>Panel B. Treatment effect</i>		
School completion	0.305 (0.112)	0.160 (0.099)
Overid. <i>p</i> -value		0.023
University enrollment	0.300 (0.118)	−0.089 (0.116)
Overid. <i>p</i> -value		0.710
University completion	0.277 (0.131)	−0.073 (0.129)
Overid. <i>p</i> -value		0.958
Observations		6,908

Notes : Estimates come from a regression of the outcome on a dummy for attending a competitive school and having middle school GPA below the relevant cutoff for admission at a competitive school (*Competitive schools × Below*) and on another dummy for attending a competitive school and having middle school GPA above the relevant cutoff (*Competitive schools × Above*). The former identifies the effect for CCs, the latter for CPs. Each of these two variables is instrumented with four other dummies: The interaction of the dummy for being born after December 31, 1988, and having middle school GPA below the cutoff (*Post × Below*) and the one for being born after December 31, 1988, and having middle school GPA above the cutoff (*Post × Above*) are again interacted with a dummy for having attended a middle school which has at least one competitive school within three kilometers (*Close*) and another one for not having competitive high schools within three kilometers (*Far*). In addition, each regression controls for a dummy for having a middle school GPA below the relevant cutoff, a linear trend in week of birth (with weeks of birth normalized to 0 for those born in the first week of 1989 and the trend allowed to differ before and after the reform and above and below the relevant cutoff), a linear function of middle school GPA percentiles, seasonal (52 weeks) dummies, five dummies indicating whether each competitive school is located within three kilometers of the attended middle school, a dummy indicating whether at least one competitive school is located within three kilometers m of the attended middle school interacted with the *Below* dummy, and one dummy indicating whether at least one competitive school is located within eight kilometers of the attended middle school. Sanderson Windmeijer *F*-statistics and *p*-values for the Hansen test are reported. SE are clustered at the week-of-birth level.

Appendix Table A1).⁴³ University enrollment declined even more, by almost 8 percentage points, with the baseline for university enrollment for low-grade students being already low, at 66 percent.

Results from Distanced-Based Design.—Table 5 reports the results from the design that uses additional variations from locations. The first-stage estimates (panel A) show that the majority of CCs are students whose middle schools are geographically

⁴³ Because the reform excludes CCs from attending a more competitive school, for this group of compliers, the reduced form estimates have the opposite sign compared to the treatment effect.